

**Lehman Brothers Bankhaus AG
Frankfurt am Main**

**Financial Statements
and Management Report
November 30, 2005**

-Short form audit report-

CONTENTS

Audit Opinion

Balance Sheet as of November 30, 2005

Income Statement for the Period from December 1, 2004 to November 30, 2005

Notes to the Financial Statements as of November 30, 2005

Management Report for Fiscal Year 2004/2005

EXHIBITS

General Engagement Terms

Audit Opinion

We have audited the annual financial statements, together with the bookkeeping system, and the management report of Lehman Brothers Bankhaus AG, Frankfurt am Main, for the fiscal year from December 1, 2004 to November 30, 2005. The maintenance of the books and records and the preparation of the annual financial statements and management report in accordance with German commercial law are the responsibility of the Company's management. Our responsibility is to express an opinion on the annual financial statements, together with the bookkeeping system, and the management report based on our audit.

We conducted our audit of the annual financial statements in accordance with § 317 HGB ["Handelsgesetzbuch": German Commercial Code] and the generally accepted German standards for the audit of financial statements promulgated by the Institut der Wirtschaftsprüfer [in Deutschland] (IDW). Those standards require that we plan and perform the audit such that misstatements materially affecting the presentation of the net assets, financial position and results of the operations in the annual financial statements in accordance with [German] principles of proper accounting and in the management report are detected with reasonable assurance. Knowledge of the business activities and the economic and legal environment of the Company and evaluations of possible misstatements are taken into account in the determination of audit procedures. The effectiveness of the accounting-related internal control system and the evidence supporting the disclosures in the books and records, the annual financial statements and the management report are examined primarily on a test basis within the framework of the audit. The audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall presentation of the annual financial statements and management report. We believe that our audit provides a reasonable basis for our opinion.

Our audit has not led to any reservations.

In our opinion, the annual financial statements give a true and fair view of the net assets, financial position and results of operations of the Company in accordance with [German] principles of proper accounting. On the whole, the management report provides a suitable understanding of the Company's position and suitably presents the risks to future development.

Frankfurt am Main, March 24, 2006

Ernst & Young AG
Wirtschaftsprüfungsgesellschaft

signed
Sterz
Wirtschaftsprüfer

signed
Kuhlmann
Wirtschaftsprüferin

Assets				Liabilities							
	EUR	EUR	EUR	Last year EUR 000		EUR	EUR	EUR	Last year EUR 000		
1. Cash reserve					1. Liabilities to banks						
a) Cash on hand		1.191,74		1	a) Payable on demand		1.694.112,02		2.165		
b) Balances with central reserve banks		17.487.125,01		258	b) With an agreed term or notice period		711.120.280,27	712.814.392,29	866.645		
Of which with Deutsche Bundesbank											
EUR	17.375.957,98										
c) Postal giro balances		0,00	17.488.316,75	0							
2. Public sector debt instruments and bills of exchange eligible for refinancing with central reserve banks					2. Liabilities to customers						
a) Treasury bills and non-interest-bearing treasury notes and similar debts of public sector borrowers		0,00		0	a) Savings deposits						
Of which eligible for refinancing with Deutsche Bundesbank	EUR	0,00			aa) With an agreed notice period of three months	0,00			0		
b) Bills of exchange		0,00	0,00	0	ab) With an agreed notice period of more than three months	0,00	0,00		0		
Of which eligible for refinancing with Deutsche Bundesbank	EUR	0,00			b) Other liabilities						
					ba) Payable on demand	345.849.779,17			334.963		
					bb) With an agreed term or notice period	3.105.965.954,87	3.451.815.734,04	3.451.815.734,04	2.529.390		
3. Loans and advances to banks					3. Securitized liabilities						
a) Payable on demand		4.668.708,13		4.045	a) Debentures issued		82.650.516,16		25.657		
b) Other loans and advances		58.895.333,65	63.564.041,78	44.593	b) Other securitized liabilities		0,00	82.650.516,16	6.022		
4. Loans and advances to customers					Of which:						
Of which secured on charges			4.718.199.704,09	4.210.031	Money market securities	EUR	0,00				
on property	EUR	0,00			Own acceptances and promissory notes outstanding	EUR	0,00				
Municipal loans	EUR	0,00						76.706.108,44	83.059		
5. Debentures and other fixed-interest securities					4. Trust liabilities						
a) Money market securities					Of which trust loans	EUR	76.706.108,44				
aa) By public sector issuers		0,00		0	5. Other liabilities						
Of which eligible as collateral with Deutsche Bundesbank					6. Deferred income						
EUR	0,00				7. Accruals						
ab) By other issuers		0,00	0,00	0	a) Accruals for pensions and similar obligations		3.444.923,72		3.169		
Of which eligible as collateral with Deutsche Bundesbank					b) Tax accruals		11.392.617,87		6.113		
EUR	0,00				c) Other accruals		20.448.212,89	35.285.754,48	7.848		
b) Bonds and debentures					8. Special item with equity component						
ba) By public sector issuers		0,00		0	9. Subordinated liabilities						
Of which eligible as collateral with Deutsche Bundesbank					10. Profit-sharing rights outstanding						
EUR	0,00				Of which due within two years	EUR	0,00		0		
bb) By other issuers		0,00	0,00	0	11. General banking risk funds						
Of which eligible as collateral with Deutsche Bundesbank					12. Equity capital						
EUR	0,00				a) Subscribed capital		59.000.000,00		59.000		
c) Own debentures		0,00	0,00	0	b) Capital reserves		287.526.534,08		287.527		
Nominal value	EUR	0,00			c) Revenue reserves						
6. Shares and other variable-interest securities					ca) Statutory reserves	5.900.000,00			5.900		
7. Investments					cb) Reserve for treasury shares	0,00			0		
Of which in banks	EUR	0,00	10.677.563,79	23.324	cc) Reserves required under articles of association	0,00			0		
Of which in financial services institutions			1.022,58	1	cd) Other revenue reserves	5.422.096,77	11.322.096,77		5.422		
EUR	0,00				d) Retained earnings/accumulated loss		0,00	357.848.630,85	0		
8. Shares in affiliated companies											
Of which in banks	EUR	0,00									
Of which in financial services institutions			0,00	0							
EUR	0,00										
9. Trust assets											
Of which trustee loans	EUR	76.706.108,44	76.706.108,44	83.059							
10. Recovery claims on public authorities, including debentures arising from their exchange											
11. Intangible assets											
12. Property, plant and equipment											
13. Unpaid calls on subscribed capital											
Of which called in	EUR	0,00	0,00	0							
14. Treasury shares											
Nominal or theoretical value	EUR	0,00	0,00	0							
15. Other assets											
16. Prepaid expenses											
17. Deficit not covered by equity capital											
Total assets				4.917.911.695,74	4.428.399	Total liabilities				4.917.911.695,74	4.428.399

	2021	2020	End year 2019
1. Contingent liabilities			
a) Contingent liabilities from negotiated and discounted bills of exchange	0,00		0
b) Liabilities from guarantees and warranty agreements	108.734.630,28		673
c) Liability from providing collateral for third-party liabilities	0,00	108.734.630,28	0
2. Other obligations			
a) Repurchase obligations under sales agreements with repurchase options	0,00		0
b) Placement and underwriting commitments	0,00		0
c) Irrevocable loan commitments	1.113.251.394,00	1.113.251.394,00	781.977

Income statement of Lehman Brothers Bankhaus Aktiengesellschaft for the period from December 1st, 2004 to November 30th, 2005**Expenses**

	EUR	EUR	EUR	Last year EUR 000
1. Interest expenses			<u>227.767.196,46</u>	<u>180.767</u>
2. Commission expenses			<u>5.605.464,61</u>	<u>4.787</u>
3. Net expenses from financial transactions			<u>0,00</u>	<u>1.164</u>
4. General administrative expenses				
a) Personnel expenses				
aa) Wages and salaries	<u>19.283.278,79</u>			<u>7.928</u>
ab) Social security and other pension costs				
	<u>358.069,44</u>	<u>19.641.348,23</u>		<u>2.121</u>
Of which old age pensions				
EUR <u>0,00</u>				
b) Other administrative expenses		<u>10.060.776,84</u>	<u>29.702.125,07</u>	<u>8.929</u>
5. Writedowns and adjustments to intangible assets and property, plant and equipment			<u>1.029.247,34</u>	<u>1.545</u>
6. Other operating expenses			<u>6.307.101,40</u>	<u>1.153</u>
7. Writedowns and allowances on loans and advances and certain securities and transfers to accruals for possible loan losses			<u>0,00</u>	<u>0</u>
8. Writedowns and adjustments to investments, shares in affiliated companies and securities treated as fixed assets			<u>0,00</u>	<u>199</u>
9. Expenses from absorbing losses			<u>0,00</u>	<u>0</u>
10. Transfers to special item with equity component			<u>0,00</u>	<u>0</u>
11. Extraordinary expenses			<u>0,00</u>	<u>0</u>
12. Income taxes			<u>12.172.020,12</u>	<u>14.757</u>
13. Other taxes not carried under item 6			<u>659.131,51</u>	<u>678</u>
14. Profits transferred under profit pooling, profit transfer or partial profit transfer agreements			<u>25.504.245,66</u>	<u>55.494</u>
15. Net income on year			<u>0,00</u>	<u>0</u>
Total expenditure			<u>308.746.532,17</u>	<u>279.522</u>

Income

	EUR	EUR	Last year EUR 000
1. Interest income from			
a) Lending and money market transactions	<u>278.824.850,45</u>		<u>261.581</u>
b) Fixed-interest securities and government inscribed debt	<u>238.142,34</u>	<u>279.062.992,79</u>	<u>0</u>
2. Current income from			
a) Shares and other variable-interest securities	<u>0,00</u>		<u>0</u>
b) Holdings	<u>0,00</u>		<u>0</u>
c) Shares in affiliated companies	<u>0,00</u>	<u>0,00</u>	<u>0</u>
3. Income from profit pooling, profit transfer or partial profit transfer agreements		<u>0,00</u>	<u>0</u>
4. Commission income		<u>27.602.635,96</u>	<u>14.748</u>
5. Net income from financial transactions		<u>428.614,58</u>	<u>0</u>
6. Income from write-ups on loans and advances and certain securities and from reversal of accruals for possible loan losses		<u>0,00</u>	<u>0</u>
7. Income from write-ups on investments, shares in affiliated companies and securities treated as fixed assets		<u>0,00</u>	<u>0</u>
8. Other operating income		<u>1.652.288,84</u>	<u>3.193</u>
9. Income from reversal of special item with equity component		<u>0,00</u>	<u>0</u>
10. Extraordinary income		<u>0,00</u>	<u>0</u>
11. Income from absorbing losses		<u>0,00</u>	<u>0</u>
12. Net loss for the year		<u>0,00</u>	<u>0</u>
Total income		<u>308.746.532,17</u>	<u>279.522</u>

1. Net income/loss for the year
2. Profits carried over from last year

2. Profits carried over from last year
3. Withdrawals from capital reserves

4. Withdrawals from revenue reserves
 - a) From statutory reserves
 - b) From treasury share reserves
 - c) From reserves required under articles of association
 - d) From other revenue reserves

5. Withdrawals from profit-sharing rights outstanding

6. Transfers to revenue reserves
 - a) To statutory reserves
 - b) To treasury share reserves
 - c) To reserves required under articles of association
 - d) To other revenue reserves

7. Replenishment of profit-sharing rights outstanding
8. Retained earnings/accumulated loss

EUR	EUR	Last year EUR 000
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
<u>0,00</u>	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
<u>0,00</u>	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
<u>0,00</u>	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>
	<u>0,00</u>	<u>0</u>

Notes to the financial statements as of November 30th, 2005

I. General

Lehman Brothers Bankhaus Aktiengesellschaft was founded on June 3rd, 1987, and was entered in the Register of Commerce of the Registry Court, Frankfurt am Main, on September 14th, 1987.

Lehman Brothers Bankhaus Aktiengesellschaft is wholly owned by Lehman Brothers Verwaltungs- und Beteiligungsgesellschaft mbH, Frankfurt am Main, which in turn is wholly owned by Lehman Brothers Holdings Inc., New York/USA.

Lehman Brothers Holdings Inc., New York, prepares the consolidated financial statements for the largest group of consolidated companies. The consolidated financial accounts for the smallest group of consolidated companies are prepared by Lehman Brothers Verwaltungs- und Beteiligungsgesellschaft mbH, Frankfurt am Main. Both sets of consolidated accounts can be obtained from Lehman Brothers Bankhaus Aktiengesellschaft, Frankfurt am Main.

The company has a domination and profit and loss transfer agreement with its sole shareholder, Lehman Brothers Verwaltungs- und Beteiligungsgesellschaft mbH, Frankfurt am Main. Under this, Lehman Brothers Bankhaus Aktiengesellschaft, Frankfurt am Main, transferred € 25.5 m to Lehman Brothers Verwaltungs- und Beteiligungsgesellschaft mbH for the financial year 2004/2005.

Business relations were maintained with affiliated companies during the period under review. All contractual relations were executed on an arms-length-basis against payment of market rates. The relation and dealings with affiliated companies did not result in any damage or disadvantage to the Bank.

Lehman Brothers Bankhaus Aktiengesellschaft is a member of the association of Hessian banks (Bankenverband Hessen e.V.), the association of foreign banks in Germany (Verband der Auslandsbanken in Deutschland e.V.) and the audit association of German banks (Prüfungsverband deutscher Banken e.V.). It is also a member of the deposit guarantee fund of the federal association of German banks (Bundesverband deutscher Banken e.V.).

Besides the branch in London, Lehman Brothers Bankhaus Aktiengesellschaft is also maintaining a branch in Milan, Italy since August 2005. This branch commenced trading in this financial year.

II. Accounting, valuation and conversion methods

Accounting and valuation follow the general accounting provisions of the German Commercial Code (HGB), and comply with the specific requirements of the German Stock Corporation Act (AktG), the Bank Accounting Directive (RechKredV), the German act implementing the EU Bank Accounting Directive (Bankbilanzrichtliniengesetz) and the German Banking Act (KWG).

Foreign exchange receivables and payables were converted as laid down in § 340 h HGB. Assets and liabilities were converted at Lehman Brothers group internal rates, which did not differ essentially from European Central Bank rates as at November 30th, 2005. The total amount of assets and liabilities denominated in foreign currency totaled € 2,970,387 k, and € 1,647,995 k respectively.

Cash reserves and receivables are recorded at nominal value or acquisition cost.

Loans and advances to clients of the London branch granted at a discount are recorded at nominal value in accordance with § 340e para. 2 HGB. The discounts are recorded under deferred liabilities.

Shares are recorded at the net realizable value.

Works and office equipment and intangible assets are recorded at acquisition cost less budgeted depreciation. Assets with a low cost basis are written off completely in the year in which they are acquired in accordance with the requirements under § 6 para. 2 EStG.

Liabilities are shown at their redemption value. In this financial year, the company acquired liabilities under promissory note loans which also include stock options. The option components are recorded separately from the underlying promissory note loans at acquisition cost in each case. Pension reserves are calculated based on an actuarial opinion under the rules of § 6a EStG, assuming interest at 6%. For the first time, pension reserves were calculated using the guideline tables 2005 G. Securitised liabilities covers two transactions where the redemption values vary in line with stock portfolios.

Contingent liabilities and other obligations are shown at nominal value or credit facilities not taken up.

III. Notes to the balance sheet

a) Loans and advances to banks

FX loans and advances to banks on the balance sheet cutoff date were € 18,279 k.

On demand loans and advances stood at € 4,669 k and loans and advances maturing at over one year up to five years at € 14,394 k. There were also interest deferrals from swaps at € 44,501 k, which are not broken down by maturity.

There were no loans or advances to affiliated enterprises (2004: € 0 k).

b) Loans and advances to customers

Foreign exchange loans and advances to customers at the balance sheet cutoff date stood at € 2,827,062 k, maturing as shown in the table below. Loans and advances payable on demand stood at € 255,454 k. There were also interest deferrals from swaps of € 77,228 k, which are not broken down by maturity.

Loans and advances to customers, with maturities (€ 000s)

Up to 3 months	More than 3 months up to one year	More than one year up to 5 years	More than 5 years
2,372,046	1,421,777	391,545	216,650

The repurchase agreements included under this heading had a nominal value of € 2,438,367 k. Loans and advances to affiliated enterprises were € 2,508,860 k (2004: € 2,694,168 k).

c) Shares

At the balance sheet cutoff date, the balance sheet item "Shares and other variable-interest securities" consisted entirely of publicly-quoted fund shares to the value of € 10,678 k.

d) Investments

Investments were publicly quoted as at the balance sheet cutoff date.

e) Assets under a Trust arrangements

Trust assets, at € 76,706 k, are entirely in foreign currencies, and are comprised entirely of trust loans to customers.

f) Intangible assets

Intangible assets, at € 114 k, are entirely software at the Milan branch, and were acquired in full in the financial year 2005. Depreciation for the financial year amounted to € 8 k.

g) Tangible assets

Tangible assets as at the balance sheet cutoff date were comprised as follows:

	Historical acquisition cost	Acquisitions	Disposals	Cumulative depreciation	As at 30.11.2005
	€	€	€ (-)	€ (-)	€
Fittings on leased premises	4,364,749	19,359	0	1,864,444	2,519,664
IT hardware	3,930,243	106,097	378,456	3,584,881	73,003
Office equipment	823,279	4,215	0	388,949	438,545
Telephone system	710,130	0	94,835	515,899	99,396
IT software	2,606,108	0	0	2,606,108	0
Data vault	7,468	0	0	0	7,468
Sundry assets	3	5,903	0	5,891	15
TOTAL:	12,441,980	135,574	473,291	8,966,172	3,138,091

The reduction in work and office equipment, down € 886 k at € 3,138 k, was due mainly to changes in fittings on leased premises and IT hardware. The software acquired in the financial year 2005 is shown under intangible assets. The net book value of assets disposed of this financial year was € 0. Depreciation of the financial year amounted to € 1,021 k.

g) Other assets

Other assets were mainly option premiums at € 17,062 k, staff loans at € 2,112 k, reinsurance assets at € 1,609 k and receivables on account of tax for CSA from LBHI at € 1,580 k.

h) Liabilities to banks

FX liabilities to banks stood at € 185,972 k. This includes liabilities to affiliated enterprises of € 2 k (2004: € 0 k).

Liabilities to banks with maturities (€ 000s)

Up to 3 months	More than 3 months up to one year	More than one year up to 5 years	More than 5 years
350,273	169,137	157,916	10,126

There were also interest deferrals from swaps of € 23,668 k, which are not broken down by maturity.

Liabilities from repurchase agreements were € 271,668 k (2004: € 451,697 k). The book value of assets sold was € 0 k.

i) Liabilities to customers

FX liabilities to customers were € 1,294,476 k, including liabilities to affiliated enterprises of € 1,196,736 k (2004: € 842,695 k).

Liabilities to customers with maturities (€ 000)

Up to 3 months	More than 3 months up to one year	More than one year up to 5 years	More than 5 years
1,087,202	176,651	459,614	1,322,888

There were also interest deferrals from swaps of € 59,611 k, which are not broken down by maturity.

j) Securitized liabilities

Securitized liabilities comprise three liabilities issued as part of the LB EMTN programme of € 58,888 k, € 10,685 k and € 5,006 k and a certificate of € 8,072 k. There are no securitized liabilities to affiliated enterprises.

k) Other liabilities

Other liabilities mainly include option premiums of € 17,062 k.

l) Deferred liabilities (or income)

Deferred liabilities consists of discounts on loans in the amount of € 8,423 k, upfront payments (€ 4,446 k), loan business administrative charges (€ 2,000) and guarantee commission (€ 1,882 k). Discounts are amortized over the term of loans.

m) Accruals

Pension accruals amounted to € 3,445 k and tax accruals to € 11,393. The calculation of the Pension accruals was performed under standards of the “guideline table 2005 G” for the first time.

Other accruals of € 20,448 k take all recognizable risks and contingent liabilities into account. This item consists mainly of provisions for staff bonuses, € 8,688 of which comprises expectations from the Contingent Stock Awards Programme 2000-2004, and € 9,847 k bonuses, and deposit guarantee provisions of € 800 k.

n) Subordinated liabilities

Subordinated liabilities stood at € 161,241 k. These are EURO-denominated promissory note loans of subordinate status, the terms of which are as follows:

Amount € 000	Interest rate	Matures	Premature redemption obligation
7,669	6.47 %	14.05.2007	No
28,000	3. 12 % (EURIBOR + 100bps)	01.11.2011	No
38,000	3. 32 % (EURIBOR + 100bps)	01.11.2011	No
34,000	3. 12 % (EURIBOR + 100bps)	08.07.2012	No
3,100	3. 12 % (EURIBOR + 100bps)	01.04.2013	No
50,000	3. 20 % (EURIBOR + 100bps)	21.10.2013	No

Interest deferrals as at 30.11.2005 were € 472 k. Interest expenditure in the financial year 2004/2005 came to € 5,326 k. The lenders have postponed their claims in favour of all Lehman Brothers Bankhaus Aktiengesellschaft's other liabilities. Except for the promissory note of € 7,669 k, the lender on the promissory notes is an affiliated enterprise, Lehman Brothers Holdings Inc UK, London.

o) Liabilities from trust or fiduciary arrangements

Trust liabilities, € 76,706 k, are entirely in foreign currencies, and fiduciary loans to customers.

p) Equity capital

The company has a capital of € 59,000 k, divided into 115,100 bearer unit shares. Under the profit and loss transfer agreement with its sole shareholder, Lehman Brothers Verwaltungs- und Beteiligungsgesellschaft mbH, Frankfurt am Main, Lehman Brothers Bankhaus Aktiengesellschaft transferred € 25,504 k to Lehman Brothers Verwaltungs- und Beteiligungsgesellschaft mbH for the financial year 2004/2005. No tax was devolved.

q) Contingent liabilities and other obligations

Contingent liabilities, at € 108,050 k, comprise a reinsurance guarantee on lease guarantees of € 186 k and a guarantee of € 150 k to the Berlin stock market assumed in favour of LBIE's branch in Frankfurt. There is also a guarantee in favour of the London branch of € 349 k, and irrevocable loans granted of € 1,113,251 k.

r) Other financial obligations

Leases on premises generate financial obligations totalling € 1.9 m p.a. These are mainly from the lease on the premises in Frankfurt am Main, which runs out on March 31st, 2012, unless Lehman Brothers Bankhaus AG exercises the extraordinary right of termination on March 31st, 2006. The lease on the Munich premises runs out on January 31st, 2006.

IV. Notes to the profit and loss account

Other operating income at € 1,652 k consists largely of provisions dissolved.

Other operating expenses at € 6,307 k are almost entirely amounts due to staff under the CAS programme.

Breakdown of certain items by geographical markets:

	Frankfurt € 000	London € 000	Milan € 000	Total € 000
1) Interest income	195,977	82,995	91	279,063
2) Commission income	28,806	- 1,103	- 100	27,603
3) Other operating income	1,652	0	0	1,652
4) Other operating expenses	6,307	0	0	6,307

V. Cashflow statement

		2005	2004
1	Profits for this period (including pro rata profits of minority shareholders) before extraordinary results	25,504	55,494
	Items not affecting payments in profits for this period and transfers to cashflow from current business		
2	Depreciation, adjustments and write-ups on loans and advances, tangible and financial fixed assets	+/- 1,029	1,545
3	Increase in provisions	+ 33,935	22,218
	Reduction in provisions	- 1,591	-1,062
4	Other income/expenditure affecting payments	+/- -6,681	14,301
5	Profits or losses on disposals of financial and tangible fixed assets	-/+	
6	Other adjustments (net)	-/+	
7	Subtotal	= 52,196	92,496
	Changes in assets and liabilities from current business		
8	Loans and advances		
8a	▪ To banks	+/- -15,018	6,336
8b	▪ To customers	+/- -502,252	1,316,643
9	Securities (other than financial assets)	+/-	0
10	Other assets from current business	+/- 37,562	12,536

11	Liabilities			
11a	▪ To banks	+/-	-153,218	-565,830
11b	▪ To customers	+/-	617,355	-457,892
12	Securitized liabilities	+/-	51,057	-248,601
13	Other liabilities from current business	+/-	-16,844	-73,737
14	Interest and dividends received	+		
15	Interest paid	-		
16	Extraordinary credits	+		
17	Extraordinary debits	-		
18	Tax paid on earnings	+/-	-7,094	-8,827
19	Cashflow from current business	=	63,745	73,124
20	Credits from disposals of			
20a	▪ Financial fixed assets	+		
20b	▪ Tangible assets	+		
21	Debits from investments in			
21a	▪ Financial fixed assets	-	11,792	-20,607
21b	▪ Tangible assets	-	-258	-143
22	Credits from sales of consolidated companies and other business units	+		
23	Debits from sales of consolidated companies and other business units	-		
24	Changes in funds from other investment activity (net)	+/-		
25	Cashflow from investment	=	11,534	-20,750
26	Credits from additions to equity capital	+	0	0
27	Dividends to proprietors and minority shareholders			
27a	▪ Dividends paid	-	-55,494	-84,182
27b	▪ Other payments	-	-2,557	0
28	Net changes in funds, capital otherwise	+/-	0	0
29	Cashflow from financial activity	=	-58,051	-84,182
30	Changes in financial funds affecting payments (total of 19, 25, 29)		17,229	-31,808
31	Changes in financial funds due to exchange rates, scope of consolidation and valuations	+/-		
32	Financial funds, opening balance	+	259	32,067
33	Financial funds, closing balance	=	17,488	259
*	Interest received as cash 2005: € 273.180 k (2004: € 284,654 k)			
**	Interest paid in cash 2005: € 229,350 k (2004: € 189,015 k)			

VI. Other information

1. Financial derivatives

At the balance sheet cutoff date, in accordance with the direction of business, as well as on-balance-sheet transactions, there were also futures transactions that carry performance risk, FX, interest and other price risks. These futures can be defined by the nature of the risks involved as follows:

a) FX futures

In the course of our Frankfurt HQ's and London branch's business, FX swaps are used to refinance FX positions by eliminating the FX risks by executing a hedging transactions within the Lehman Brothers group. The London branch uses interest/FX swaps and FX futures as hedging within the Lehman Brothers group to a minor extent.

b) Interest-rate futures

In the course of its business with German customers, The Frankfurt headquarters uses interest-rate swaps and, to a limited extent, options on interest rate swaps (swaptions) by using hedging transactions with a Lehman Brothers company to eliminate market risks. We also use interest-rate futures as part of our asset and liability management.

In dealing with customers, our London branch uses interest rate swaps, commitments from option sales from interest rate options and interest rate option rights acquired by eliminating market risks through hedging transactions with a Lehman Brothers company.

c) Futures transactions with other price risks

As part of its promissory note loans with delivery rights to the company, our London branch uses stock options and commitments from option sales from stock options by using hedging transactions with a Lehman Brothers company to eliminate market risks.

Totals for individual transaction types as at November 30th, 2005 were as shown below. The values assigned were calculated using the market value method.

	Nominal volume	Value to be assigned (positive market value)	Value to be assigned (negative market value)
	30.11.2005 EUR 000	30.11.2005 EUR 000	30.11.2005 EUR 000
1. Interest rate transactions			
a) Interest Rate Swaps (IRS)	7.745.716	314.180	209.347
b) Swaptions	705.181	4.894	4.894
	8.450.897	319.074	214.241
2. FX transactions			
a) FX forwards	2.689.794	1.554	830
b) Currency Interest Rate Swaps	11.008	4.717	4.717
	2.700.802	6.271	5.547
3. Stock/index-based transactions			
Options	374.024	3.626	3.626
	374.024	3.626	3.626
	11.525.723	328.971	223.414

Financial derivatives were included in the balance-sheet items below as at the balance-sheet cutoff date as follows:

	Interest Rate Swaps (IRS) (Interest deferrals and upfront payment)	FX forwards (FX hedging)	Currency Interest Rate Swaps (Currency hedging)	Options (Option premiums)
	30.11.2005 EUR 000	30.11.2005 EUR 000	30.11.2005 EUR 000	30.11.2005 EUR 000
Loans and advances to banks	44,501			
Loans and advances to customers	77,228			
Other assets		170		17,062
Deferred items	1,581			
	123,310	170	0	17,062
Liabilities to banks	23,668			
Liabilities to customers	59,611			
Other liabilities			1,712	7,043
Deferred items	1,581			
	84,860	0	1,712	7,043

2. Services to third parties

In the year ended, once again, Lehman Brothers Bankhaus Aktiengesellschaft provided not inconsiderable services in securities business and corporate finance for various members of the Lehman Brothers group.

3. Management Board

The members of the Management Board in the financial year 2004/2005 were as follows:

Dr. Peter Coym, businessman (Until June 30th 2005)
Karl H. Dannenbaum, businessman
Helmut Olivier, businessman

For their duties in this financial year, the directors' drawings totalled € 2,503 k.

4. Supervisory Board

The members of the Supervisory Board in the financial year 2004/2005 were as follows:

Jeremy Isaacs (Chairman), businessman

Peter R. Sherratt (Deputy Chairman), businessman

Richard Amat, businessman

Mark Jeremy Benson, businessman (Until July 13th 2005)

Benoit D'Angelin, businessman

Ian Jameson, attorney at law

Raymond O'Connell, businessman (From July 13th 2005)

The Supervisory Board members did not receive any payment for their services in this financial year.

5. Positions on other Supervisory Boards

Director Dr. Peter Coym, who resigned this year, is Chairman of the Stock Exchange Council of Eurex Deutschland AG (Until June 2nd 2005) and Deputy Chairman of the Supervisory Board of Magix AG.

Helmut Olivier is a member of the Supervisory Board of D Logistics AG and the Stock Exchange Council of Eurex Deutschland AG.

6. Staff

The Bank employed an average of 63 people over the financial year.

Frankfurt am Main, February 2006

**LEHMAN BROTHERS BANKHAUS AKTIENGESELLSCHAFT
THE MANAGEMENT BOARD**

Karl H. Dannenbaum

Helmut Olivier

Business development

In the financial year just ended, the Bank's business development was marked by individual divisions performing variably. While the Bank's investment banking business rose from € 14.1 m last year to € 27.2 m this year, interest income was down € 29.5 m from last year. Net profit after tax was € 25.5 m (last year € 55.5 m).

The decrease in net interest income was due mainly to a significant improvement in credit quality, so the margins obtained were lower, and pressure on margins in the loan business is increasing generally.

If investment banking performed well, this was due partly to an increase in the number of experienced, successful staff, so personnel costs rose accordingly.

Under the existing transfer agreement, the profits on the fiscal year were transferred to Lehman Brothers Verwaltungs- und Beteiligungsgesellschaft mbH, Frankfurt am Main.

The Bank is involved in loans, pensions and refinance, derivatives and investment banking.

Dr. Peter Coym resigned from the Board of the Bank as of 30.06.2005, when his term of office expired. Another Board Member, Karl Dannenbaum, has assumed the responsibilities of Dr. Coym.

Loans business

The Bank's loans business increased slightly in 2005. At the same time, the overall quality of the portfolio improved with an average internal portfolio rating increasing from BB+ to BBB-, to reach investment grade quality. However, this improvement in loan quality combined with the increasing margin pressure have led to a reduction in interest income on the loan portfolio of the bank.

By the year end, the bank's loans granted had reached a volume of € 1,688 m. The loan portfolio of the Bank's is booked in the branch of the Bank in London. The opening of an additional branch of the bank in Milan is aimed to expand the existing loan business in Italy.

The Bank's loans business consists mainly of international corporate loans, commercial property loans and financing owner-occupied residential property in Great Britain. With corporate loans, the Bank extends credit directly to large international corporations, the residential property lending is portfolio-based lending and the commercial property loans of the Bank consist of existing loans by other Lehman Brothers companies in which the Bank participates. Loans are underwritten in accordance with the Bank's credit risk and profitability criteria and in the interests of a balanced industry and geographical portfolio.

The residential real estate portfolio, whereby the Bank provides warehouse financing for residential properties in Great Britain, has delivered a strong performance. The Bank was successful in expanding this business segment in the financial year just ended by joining forces with another loan originator.

Management Report for the Fiscal Year 2004/05

The volume of such loans fluctuates during the year, peaking at up to € 1.6 bn, prior to the transfer of the portfolio for securitization and placement with institutional investors in the market.

The high yield loan portfolio experienced an increased pressure on credit spreads which resulted disproportionately to a drop in interest income from the entire portfolio margin decrease.

The Bank compensated the lower margins on the residential portfolio by an increase in the portfolio size to maintain the revenue level. A similar trend – margin pressure and increased volumes – was also noticeable in the commercial property lending.

Investment Banking

In the investment banking, Lehman Brothers continued to expand its position globally in mergers and acquisitions (M&A), debt capital and equity capital markets in the fiscal year. Worldwide earnings in this segment were up 32% to a total of USD 2.9 bn. Revenues generated from fees paid by German customers reached a record USD 50 m for the first time since Lehman Brothers' presence in Germany. With a total of € 27.2 m the German investment banking was the major contributor to the Bank's overall profitability.

The investment banking success of the Bank is the result of the strategy followed by the management over the past two years in strengthening the German resources by consistently adding senior experienced investment banker to the German team. Germany is regarded as one of the major growth markets in the areas of M&A, capital markets and equity underwriting by Lehman Brothers worldwide with plans by the Bank to expand the human resources in this segment in Germany. With the experienced growth of the investment banking department in Germany, the Bank's personnel costs climbed to € 19.6 m during the fiscal year compared to a cost of € 10.0 m last year.

Treasury and Finance

The continues financing needs of the growing business activities of the Bank are of particular importance to the Bank and are secured by medium- and long-term refinancing in the market during the fiscal year. The Bank is also busy in financing assets by conducting Repurchase transactions with German and international clients. The Repurchase transaction with Danske Bank of Denmark was terminated in 2005.

Long-term deposits by customers and banks (maturing at over five years) stood at € 1,333 m, plus subordinate liabilities of € 161 m. Short- and medium-term liabilities together were € 2,069 m, short- and medium-term liabilities to banks totalling € 679 m.

Besides the refinancing in the domestic market, the Bank has used increasingly the international markets, by increasing its existing credit facility by US\$ 250 m to US\$ 1.0 bn and extending the term to 3.5 years. As an affiliate of Lehman Brothers, the Bank is also a member of the firms global European Medium Term Note (EMTN) programme.

Derivatives

Management Report for the Fiscal Year 2004/05

The Bank's Treasury department used interest-rate swaps to reduce the interest rate fluctuation risk as part of our asset and liability management. The Bank also concluded structured interest rate derivative transactions with customers. The market price risk is hedged by simultaneous back-to-back transactions with other Lehman affiliates.

Branches

The Bank's loan business is still handled mainly by our London branch, which is also involved as an intermediary in interest rate and FX derivatives. The company also acts as an issuer under the Lehman Brothers EMTN programme via our London branch.

The Milan branch started its operations in October 2005. The branch is initially financing only secured property loans and unsecured corporate loans. The Bank has plans to expand this branch's business in stages to include certain commercial transactions, such as FX derivatives.

Staff

The Bank's results were achieved by an average of 63 people over the year. With their outstanding expertise and above-average personal commitment, they contributed to the Bank's success, for which we thank them.

Risk control and management

Formulating the Bank's risk policy is the Board's responsibility. It lays down the framework for managing the Bank's risks and is responsible for approving all risk limits. Ensuring compliance with risk management constraints is the responsibility of Controlling and the business units concerned. The Bank will have completed implementing the new risk management rules which Federal financial regulatory authority BaFin published in December 2005 (MaRisk) by the end of 2006.

Details of the specific risks to which the Bank is exposed and the controlling and monitoring of those risks is described in more detail below.

Market price risks

The business activities that constitute trading book transactions are hedged simultaneously at the time of trade execution in all cases. The Treasury department has the authority to deal with market risks in terms of interest-rate risks through managing our accounts and liquidity. Interest risks are assessed independently from the trading departments, reports being made directly to the management and the business units concerned. Interest risks are recorded and assessed via a value-at-risk (VAR) strategy based on the usual market statistical and analytical calculation methods. Day to day VAR is based on a confidence level of 95%, a holding term of one day and relevant historical data for the last two years. The Bank's VAR is limited to US\$ 400 k, and stood at US\$ 19 k at the end of the financial year 2005. The underlying assumptions on which this method is based are reviewed regularly to verify that they still apply.

FX risks

The Bank's FX risks derive mainly from our stock pensions business and foreign currency loans granted. Our Treasury department hedges most of these risks through FX futures transactions, calculating how much of the Bank's foreign currency limits tied to its liable equity capital is taken up each day and reporting this to the management.

Credit risks

The Board monitors and controls the Bank's credit risks. The credit administration department keeps a daily updated limit list to compare actual exposures against credit limits approved by the credit department for all customers on a daily basis and reports this to the management directly and to the business units involved.

The Bank's risk profile in its credit business is monitored and controlled within specified credit guidelines on the one hand and by mapping the loan portfolio in terms of industry, product and geography on the other hand.

Product and customer specific guidelines and credit principles/guidelines, such as an internal rating scale combined with qualitative individual credit decisions, form the foundations on which the Bank's commercial credit risk management methods and processes are based. The Bank has implemented the minimum requirements for the credit business [MaK] and modified its credit guidelines accordingly.

As part of managing the Lehman Brothers group's credit risks, the group's parent company provides cash guarantees against the Bank's customers becoming insolvent under a security agreement.

Country risks

The Bank seeks to diversify its country risks and limits the exposure to clients in emerging markets as appropriate. Balancing product and country risks helps spread risks. The Bank will continue to follow its strategy balancing country and product risks.

Default rates from derivatives

The Bank is involved as an intermediary in interest-rate and FX derivatives, hedging market price risks accordingly. Derivatives involve credit risks, as, if a counterparty defaults, this could mean replacement costs in obtaining a comparable position. Our credit department compares these potential default risks with the counterparty limits granted at any time in the light of changing market prices.

Liquidity risks

Liquidity management and managing liquidity risks are the responsibility of the Bank's Treasury department. Monitoring liquidity risks is part of Controlling's work, short-term liquidity positions being governed by internal rules on the one hand and banking regulatory rules on the other.

Management Report for the Fiscal Year 2004/05

The Bank records all foreseeable payment flows under contracts on a precise day to day basis for each currency in a Treasury cash positioning system. This enables the Bank to predict its daily funding requirements at market prices and ensure we maintain adequate minimum reserves with the European Central Bank.

Settlement and operational risks

The Bank limits potential risks from business processes through a comprehensive system of internal checks and controls, based on a clear functional separation of trading, settlement, controlling and monitoring.

All operational processes in day to day business are largely computerised or assisted by IT applications. The Bank has an emergency backup plan (Business Continuity Plan – BCP) describing the process of ensuring the continuation of operations in case of an unexpected business interruption or national disaster.

Operational risks

The Bank and its European affiliates are working on implementing the requirements of the Basle capital accord ('Basel II'). In 2003, the Bank began recording losses from operational risks in the Operational Risk Integrated Database.

Legal risks

Legal risks are minimized by the continuous observation of the trading activities and lending activities on a legal basis. The legal department prepares and reviews all business activities in terms of the civil law design and also in the light of existing regulatory requirements. Before moving into any new products or markets, the potential risks involved are assessed by a New Product Committee or Transaction Review Group, comprising the member of the management in charge and staff from our legal, compliance, audit, controlling and operations departments. In areas which are complex or new to the market, and so require legal assessment in depth, the Bank also obtains opinions from outside specialists.

Liquidity and capital

The management monitors the total volume and composition of Lehman Brothers Bankhaus Aktiengesellschaft's capital at regular intervals to ensure we are complying with regulatory requirements and that they are in line with our risk profile.

The Bank's long-term funding continues to outweigh its short- to medium-term liquidity requirements. We manage the resulting interest risks proactively by using interest-rate derivatives.

Outlook

Management Report for the Fiscal Year 2004/05

Last year, the Bank developed a strategy formulated in a three-year plan. The Bank implemented this strategy successfully in the fiscal year 2005 by expanding the residential loan portfolio and opening a branch in Milan.

The issuance of creative new structured products for the market and the business relationship with important new clients, such as foreign hedge funds will enable the Bank to maintain a balanced risk to earnings profile in the future. The investment banking department will continue to grow and attract more talented people to the successful German groups Financial Institutions and Mergers & Acquisitions. The profitability of this department will increase noticeably, and will lead to further earnings growth in a healthy market.

The Bank will continue to monitor loans on a continuous basis with a high standard of quality to handle the risks involved mainly in the conventional loans business. We will refine our monitoring methods to contain the credit risks as our loans portfolio grows, focusing particularly on in-depth portfolio analyses to manage diversifying our risks.

The Bank expects the loan portfolio to remain under margin pressure, which may reduce interest earnings and hence impact the net interest income. However, the management of the Bank expects that increasing earnings in investment banking will make up for the increased margin pressure.

The management's strategy based on our loans business, money market business and investment banking will again, in the new financial year, enable the Bank to take advantage of the healthy market to consolidate its earning power.

General Engagement Terms for Wirtschaftsprüfer and Wirtschaftsprüfungsgesellschaften [German Public Auditors and Public Audit Firms] as of January 1, 2002

This is an English translation of the German text, which is the sole authoritative version

1. Scope

(1) These engagement terms are applicable to contracts between Wirtschaftsprüfer [German Public Auditors, or Wirtschaftsprüfungsgesellschaften [German Public Audit Firms] (hereinafter collectively referred to as the "Wirtschaftsprüfer") and their clients for audits, consulting and other engagement services, insofar as nothing else has not been expressly agreed to in writing or is not compulsory due to legal requirements.

(2) If, in an individual case, as an exception contractual relations have also been established between the Wirtschaftsprüfer and persons other than the client, the provisions of No. 9 below also apply to such third parties.

2. Scope and performance of the engagement

(1) Scope of the Wirtschaftsprüfer's engagement is the performance of agreed services – not a particular economic result. The engagement is performed in accordance with the Grundsätze ordnungsgemäßer Berufsausübung [Standards of Proper Professional Conduct]. The Wirtschaftsprüfer is entitled to use qualified persons to conduct the engagement.

(2) The application of foreign law applies – except for financial statement engagements – an express written agreement.

(3) The engagement does not extend – to the extent it is not directed thereto by an examination of the issue of whether the requirements of tax law or social regulations (such as, for example, laws on price controls, laws limiting competition and Beschäftigungsgesetz [laws concerning certain aspects of specific business operations]) were observed. The same applies to the determination as to whether subsidies, allowances or other benefits may be claimed. The performance of an engagement encompasses auditing procedures, the detection of the detection of books and records and other irregularities only if during the conduct of audits grounds therefor arise or if this has been expressly agreed to in writing.

(4) If the engagement changes subsequent to the issuance of the final professional statement, the Wirtschaftsprüfer is not obliged to inform the client of changes or any consequences resulting therefrom.

3. The client's duty to inform

(1) The client must ensure that the Wirtschaftsprüfer – even without its specific request – is provided, on a timely basis, with all supporting documents and records required for and is informed of all events and circumstances which may be significant to the performance of the engagement. This also applies to those supplanting the assets and records, events and circumstances which first become known during the Wirtschaftsprüfer's work.

(2) Upon the Wirtschaftsprüfer's request, the client must confirm in a written statement drafted by the Wirtschaftsprüfer that the supporting documents and records and the information and explanations provided are complete.

4. Ensuring Independence

The client guarantees to refrain from everything which may endanger the independence of the Wirtschaftsprüfer's staff. This particularly applies to offers of employment and offers to undertake engagements on one's own account.

5. Reporting and verbal information

If the Wirtschaftsprüfer is required to present the results of his work in writing, only that written presentation is authoritative. For audit engagements the long form must always be furnished in writing to the client. Nothing else has been agreed to, verbally, statements and information provided by the Wirtschaftsprüfer's staff beyond the engagement agreed to are inadmissible.

6. Protection of the Wirtschaftsprüfer's intellectual property

The client is prohibited from using opinions, organizational charts, drafts, sketches, schedules and calculations – especially quarterly and annual computations – prepared by the Wirtschaftsprüfer within the scope of the engagement will be used only for his own purposes.

7. Transmission of the Wirtschaftsprüfer's professional statement

(1) The transmission of a Wirtschaftsprüfer's professional statement to (long form reports, expert opinions and the like) to a third party requires the Wirtschaftsprüfer's written consent to the extent that the permission to transmit to a certain third party does not result from the engagement terms.

The Wirtschaftsprüfer is liable (within the limits of No. 8) towards third parties only if the prerequisites of the first sentence are given.

(2) The use of the Wirtschaftsprüfer's professional statements for promotional purposes is not permitted; an infringement entitles the Wirtschaftsprüfer to immediately cancel all engagements not yet conducted for the client.

8. Correction of deficiencies

(1) Where there are deficiencies, the client is entitled to subsequent fulfillment of the contract. The client may demand a reduction in fees or the cancellation of the contract only, or the failure to subsequently fulfill the contract if the engagement was awarded by a person carrying on a commercial business as part of the commercial business, a government-owned legal person under public law or a special government service and cannot publicly be held responsible for the cancellation of the contract only if the services rendered are of no interest to him due to the failure to subsequently fulfill the contract. No. 9 applies to the extent that claims for damages exist beyond this.

(2) The client may assert his claim for the correction of deficiencies in writing without delay. Claims pursuant to the first paragraph not arising from an intentional tort cease to be enforceable one year after the commencement of the statutory limit for tortious conduct.

(3) Obvious deficiencies, such as typing and arithmetic errors and formal errors (deficiencies associated with formalistic) contained in a Wirtschaftsprüfer's professional statements (long-form reports, expert opinions and the like) may be corrected – and also be applicable versus third parties – by the Wirtschaftsprüfer at any time. Errors which may call into question the conclusions contained in the Wirtschaftsprüfer's professional statements entitle the Wirtschaftsprüfer to withdraw – as to versus third parties – such statements. In the cases noted the Wirtschaftsprüfer should first hear the client, if possible.

9. Liability

(1) The liability limitation of § 1 (Absatz) 2 BBG (Paragraph 2) HGB [§ 1 (Absatz) 2 HGB] applies to statutory audits required by law.

(2) Liability for negligence: An individual case of damages

If neither No. 1 is applicable nor a regulation exists in an individual case, pursuant to § 54a (1) No. 2 WPO [Wirtschaftsprüferordnung] Law regulating the Profession of Wirtschaftsprüfer, the liability of the Wirtschaftsprüfer for claims of compensatory damages of any kind – caused by damages resulting from injury to life, body or health – for an individual case of damages resulting from negligence is limited to € 1 million. This also applies if liability for a person other than the client should be established. An individual case of damages exists in relation to a uniform damage arising from a number of breaches of duty if the individual case of damages encompasses a consequence from a breach of duty without taking into account whether the damages occurred one year or in a number of successive years. In this case multiple acts or omissions of any kind based on a common source of error or a source of error of an equivalent nature are deemed to be a uniform breach of duty if the matters in question are legally or economically connected to one another. In this event the claim against the Wirtschaftsprüfer is limited to € 5 million. The limitation to the livelihood of the minimum amount insured does not apply to compulsory liability required by law.

(3) Exclusionary deadlines

A compensatory damages claim may only be lodged within a preclusive deadline of one year after the date of the claim, having become aware of the damage and of the event giving rise to the claim – at the very latest, however, within 3 years subsequent to the event giving rise to the claim. The claim expires if legal action is not asserted within six months after the subsequent to the written refusal or acceptance of the indemnity and the client was informed of this consequence. The right to assert the bar of the preclusive deadline vanishes if neither Sentences 1 to 3 above apply to legal requirements with statutory liability limits.

10. Supplementary provisions for audit engagements

(1) A subsequent amendment or abridgement of the financial statements or management report issued by a Wirtschaftsprüfer and accompanied by an auditor's report requires the written consent of the Wirtschaftsprüfer even if these documents have not published. If the Wirtschaftsprüfer has not issued an auditor's report, a reference to the audit conducted by the Wirtschaftsprüfer in the management report or elsewhere specified for the general public is permitted only with the Wirtschaftsprüfer's written consent and using the wording authorized by him.

(2) If the Wirtschaftsprüfer receives the auditor's report, it may no longer be used. If the client has already made use of the auditor's report, he must announce its revocation upon the Wirtschaftsprüfer's request.

(3) If the client has agreed to 5 copies of the engagement report. Additional copies will be charged for separately.

11. Supplementary provisions for assistance with tax matters

(1) When advising on an individual tax issue as well as when providing continuous tax advice, the Wirtschaftsprüfer is entitled to assume that the facts provided by the client – especially numerical disclosures – are correct and complete; this also applies to bookkeeping engagements. Nevertheless, he is obliged to inform the client of any errors he has discovered.

(2) The tax consulting engagement does not encompass procedures required to meet deadlines, unless the Wirtschaftsprüfer has explicitly accepted the engagement for that. In this event the client must provide the Wirtschaftsprüfer on a timely basis, all supporting documents and records – especially tax assessments – material to meeting the deadlines, so that the Wirtschaftsprüfer has an appropriate time period available to work therewith.

(3) In the absence of other written agreements, continuous tax advice encompasses the following work during the normal period:

- preparation of annual tax returns for income tax, corporation tax and business tax, as well as net worth tax returns on the basis of the group financial statements and other schedules and evidence required for tax purposes to be submitted by the client;
- examination of tax assessments in relation to the taxes mentioned in (a);
- negotiations with tax authorities in connection with the returns and assessments mentioned in (a) and (b);
- participation in tax audits and evaluation of the results of tax audits with respect to the taxes mentioned in (a);
- participation in Einspruchs- und Beschwerdeverfahren (appeals and complaint procedures) with respect to the taxes mentioned in (a).

In the aforementioned work the Wirtschaftsprüfer takes material published legal decisions and administrative interpretations into account.

(4) If the Wirtschaftsprüfer receives a fixed fee for continuous tax advice in the absence of other written agreements, the work mentioned under paragraph 3 (a) and (c) will be charged separately.

(5) Services with respect to special individual issues for income tax, corporate tax, business tax, valuation procedures for property and net worth taxation, and net worth tax as well as all issues in relation to social tax, wage tax, other taxes and duties require a special engagement. This also applies to:

- the treatment of nonrecurring tax matters, e.g. in the field of estate tax, capital transactions tax, real estate acquisition tax;
- participation and representation in proceedings before administrative courts and in criminal proceedings with respect to taxes; and
- the granting of advice and work with respect to special opinions in connection with conversions of legal form, mergers, capital increases and reductions, financial reorganizations, admission and retirement of partners or shareholders, sale of a business, liquidations and the like.

(6) To the extent that the annual sales tax return is accepted as additional work, this does not include the review of any special accounting procedures nor of the issue as to whether all potential legal sales tax conditions have been fulfilled. No guarantee is assumed for the completeness of the supporting documents and records to validate the deduction of the input tax credit.

12. Confidentiality towards third parties and data security

(1) Pursuant to the law the Wirtschaftsprüfer is obliged to treat all facts that he comes to know in connection with his work as confidential, irrespective of whether these concern the client himself or his business secret, unless the client is released from this obligation.

(2) The Wirtschaftsprüfer may only release confidential reports, expert opinions and other written statements on the results of his work to third parties with the consent of his client.

(3) The Wirtschaftsprüfer is excluded – within the purposes stipulated by the client – to process personal data entrusted in him or allow them to be processed by third parties.

13. Refusal of acceptance and lack of cooperation on the part of the client

If the client defaults in accepting the services of one of the Wirtschaftsprüfer or if the client does not provide the assistance mentioned in (2) or (3) pursuant to No. 11 or otherwise, the Wirtschaftsprüfer is entitled to cancel the contract immediately. The Wirtschaftsprüfer's right to compensation for additional expenses as well as for damages caused by the default or the lack of assistance is not affected, even if the Wirtschaftsprüfer does not exercise this right to cancel.

14. Remuneration

(1) In addition to his claims for fees or remuneration, the Wirtschaftsprüfer is entitled to reimbursement of his outlays; sales tax will be billed separately. He may claim appropriate advances for remuneration and reimbursement of outlays and make the rendering of his services dependent upon the complete satisfaction of his claims. Multiple clients regarding engagements are jointly and severally liable.

(2) Any set-off against the Wirtschaftsprüfer's claims for remuneration and reimbursement of outlays is permitted only for undisputed claims or claims determined in a legal ruling.

15. Retention and return of supporting documentation and records

(1) The Wirtschaftsprüfer retains, for seven years, the supporting documents and records in connection with the conclusion of the engagement – that have been provided to him and that he has prepared himself – as well as the correspondence with respect to the engagement.

(2) After the settlement of his claims arising from the engagement, the Wirtschaftsprüfer, upon the request of the client, must return all supporting documents and records obtained from him or for him by reason of his work on the engagement. This does not, however, apply to correspondence exchanged between the Wirtschaftsprüfer and the client and to any documents of which the client already has the original or a copy. The Wirtschaftsprüfer may prepare and send a copy of photographs of supporting documents and records which he returns to the client.

16. Applicable law

Only German law applies to the engagement, its content and its termination, unless otherwise stated.